

Zepto Pricing Strategy Case Study Report

EXECUTIVE SUMMARY

This analysis evaluates the impact of discount-driven pricing strategies on revenue efficiency in a quick-commerce environment.

Despite consistent growth in order volume, revenue has not scaled proportionally, raising concerns about whether the business is achieving sustainable growth or relying on discounts to artificially drive demand. The analysis reveals that customer behavior in quick-commerce is primarily driven by convenience rather than pricing. High-frequency categories such as snacks and beverages dominate orders, indicating urgency-based purchasing patterns.

While low discount levels show higher total revenue, this increase is largely driven by higher order volumes rather than improved revenue efficiency. A deeper analysis of revenue per order shows a clear decline as discounts are introduced, confirming that discounting reduces transaction-level value. These findings suggest that discounts do not significantly influence demand and instead dilute revenue efficiency. Most product categories perform optimally at or near full price, with minimal evidence of strong price sensitivity.

From a business perspective, this indicates that the platform operates as a convenience-first model rather than a price-driven marketplace. Over-reliance on discounting may lead to margin erosion without improving demand quality. Based on these insights, it is recommended to reduce broad discounting strategies and shift toward targeted pricing where measurable impact exists. The business should focus on maximizing revenue per order and reinforcing its core value proposition of speed, reliability, and product availability.

Overall, sustainable growth in quick-commerce depends on optimizing pricing strategies while aligning with customer behavior, which is driven more by convenience than price sensitivity.

1. Business Overview

Quick-commerce platforms such as Zepto operate on a high-speed fulfillment model, promising delivery of daily essentials within 10–20 minutes. Unlike traditional e-commerce, these platforms rely on hyperlocal dark stores, rapid picking systems, and last-mile delivery networks.

While this model drives high customer adoption due to convenience, it also introduces **significant per-order operational costs**, including:

- Warehouse operations
- Picking and packing labor
- Delivery partner payouts
- Inventory holding and wastage

As a result, **business success is not driven by order volume alone**, but by **revenue efficiency per order**.

To accelerate growth and compete in the market, pricing strategies such as discounts are frequently used. However, their impact on revenue sustainability remains uncertain.

2. Business Problem

Over the past few months, the company has observed a steady increase in order volumes across multiple cities. On the surface, this appears to indicate strong customer demand and successful growth strategies.

However, a deeper concern has emerged within the operations and finance teams.

Despite increasing order counts, **revenue growth has not scaled proportionally**, raising questions about the effectiveness of current pricing strategies. There is a growing suspicion that:

Discounts may be artificially inflating demand rather than generating meaningful revenue.

Leadership is now questioning whether the company is:

- Building a sustainable business
or
- Simply “buying orders” through aggressive discounting

This uncertainty has triggered the need for a structured analysis of pricing and demand behavior.

3. Key Challenges

The analysis needed to address several practical challenges:

- Understanding whether higher discounts genuinely increase order volume
 - Evaluating if discount-driven orders contribute positively to total revenue
 - Identifying categories with real price sensitivity vs. convenience-driven demand
 - Distinguishing between high-volume and high-value products
 - Assessing whether current pricing strategy aligns with quick-commerce usage behavior
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4. Methodology

To solve the problem, a structured analytical workflow was followed:

Data Preparation

- Designed a relational database schema separating products, cities, and transactions
- Loaded raw data into a staging table
- Normalized data into fact and dimension tables
- Validated joins and ensured data consistency

Analytical Approach

The analysis was conducted across multiple dimensions:

- Product-level performance (orders vs revenue)
- Discount impact on order volume
- Discount impact on total revenue
- Category-level price sensitivity
- Cross-comparison of revenue efficiency across pricing levels

All analysis was executed using SQL to simulate real-world data querying in an operational environment.

5. Key Insights

5.1 Demand is driven by convenience, not pricing

High-frequency items such as snacks, beverages, and instant food dominate order volume, indicating that customers prioritize availability and speed over price.

5.2 High order volume does not translate to high revenue quality

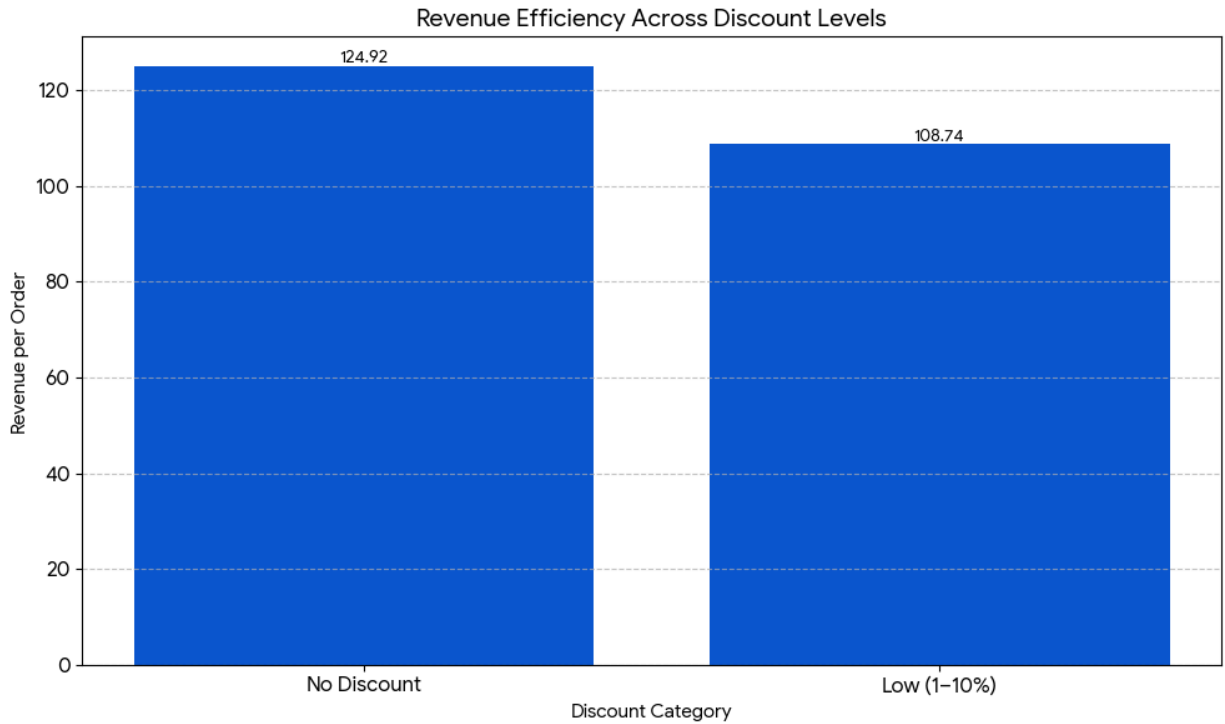
Products with the highest number of orders are typically low-ticket items, contributing to volume but not significantly increasing revenue per order.

5.3 Discounts do not significantly increase order volume



While low discounting shows higher total revenue, this is primarily driven by increased order volume rather than improved revenue efficiency.

5.4 Discounting reduces revenue efficiency



Revenue per order declines as discounts increase, indicating that discounting reduces transaction-level efficiency and does not improve unit economics.

Higher discounts do not generate proportional increases in revenue and in several cases lead to lower total revenue contribution.

Overall, the analysis shows that discounting increases order volume but reduces value per transaction, indicating weak price sensitivity in a convenience-driven model.

5.5 Limited category-level price sensitivity

Most categories perform optimally at or near full price. Only dairy shows mild responsiveness to price changes.

6. Business Implications

The findings indicate that:

- Quick-commerce is primarily a **convenience-driven model**, not a price-driven marketplace
- Customers use the platform for urgency-based purchases rather than deal-seeking behavior
- Discount-heavy strategies may be misaligned with actual customer motivations

This creates a risk where:

Growth strategies focused on discounts may erode margins without improving demand quality.

7. Recommendations

Based on the analysis:

- Reduce broad, blanket discounting across categories
 - Apply targeted discounts only where measurable price sensitivity exists
 - Focus on improving **revenue per order**, not just order count
 - Shift strategic positioning toward **speed, reliability, and product availability** rather than price competition
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8. Real-World Applications of This Analysis

This analysis can directly support business decision-making in the following ways:

- **Pricing Strategy Optimization**
Helps identify where discounts should be reduced or maintained
- **Category-Level Decision Making**
Enables targeted pricing strategies based on product behavior

- **Revenue Efficiency Improvement**
Focuses business on maximizing value per transaction
- **Operational Cost Alignment**
Supports balancing delivery costs with order value
- **Strategic Positioning**
Reinforces a convenience-first model instead of discount-led growth.